# Bid and Contract Risk Policy

Owner: Farah Siddiqui, Head - Legal & Contracts | Version 4.0 | Effective 1 April 2026 | Next review 31 March 2027

## 1. Purpose

This policy sets Nimbus's standard positions on contract terms that appear in tenders, the approvals needed when a tender departs from them, and the issues that should make us consider not bidding. It guides bid teams and the TenderBridge risk agent. It is not legal advice; every material deviation goes to the Legal team.

## 2. How to use this policy

For each contract clause, compare the tender term with the standard position below. If the tender term is within the standard position, no approval is needed. If it exceeds the negotiation threshold, raise a pre-bid query (if the window is open) and obtain the approval listed. Deal-breakers require the decision of the person named before the bid/no-bid gate.

## 3 to 8. Standard positions

### 3.1 Limitation of liability

Standard position: Aggregate liability capped at 1x annual contract value; 1x total contract value acceptable with Legal approval.

- Negotiation threshold: Cap > 1x total contract value or any carve-out without cap.
- Approval: Head - Legal & Contracts; MD & CEO if cap exceeds 1x total contract value.
- Deal-breaker: Unlimited liability for data breach or consequential losses without insurance backing requires CEO sign-off; otherwise no-bid.
- Owner: Head - Legal & Contracts.

### 3.2 Unlimited liability

Standard position: Not accepted by default.

- Negotiation threshold: Any uncapped liability.
- Approval: Legal escalation mandatory; MD & CEO decision.
- Deal-breaker: Yes, unless CEO approves with insurance cover confirmed.
- Owner: Head - Legal & Contracts.

### 4.1 Performance guarantee

Standard position: Up to 3% of contract value accepted as standard.

- Negotiation threshold: > 3% of contract value.
- Approval: CFO approval above 3%; CEO above 10%.
- Deal-breaker: No.
- Owner: Chief Financial Officer.

### 4.2 Payment terms

Standard position: Payment within 30 days of invoice preferred; up to 45 days accepted.

- Negotiation threshold: > 45 days from invoice/SLA verification.
- Approval: Cash-flow review by CFO if > 45 days.
- Deal-breaker: No.
- Owner: Chief Financial Officer.

### 4.3 SLA penalty cap

Standard position: Total SLA penalties capped at 10% of the periodic (quarterly) payment.

- Negotiation threshold: > 10% of quarterly payment, or uncapped.
- Approval: Commercial risk assessment by Head - Bids if cap > 10%.
- Deal-breaker: Uncapped penalties.
- Owner: Head - Bids & Proposals.

### 4.4 Liquidated damages

Standard position: LD capped at 10% of contract value.

- Negotiation threshold: > 10%.
- Approval: Head - Bids if cap > 10%.
- Deal-breaker: Uncapped LD.
- Owner: Head - Bids & Proposals.

### 5 Intellectual property

Standard position: Client owns project-specific deliverables; Nimbus retains pre-existing IP, tools and generic runbook templates with a licence to client.

- Negotiation threshold: Assignment of pre-existing IP or tools.
- Approval: Contract-specific legal review.
- Deal-breaker: No.
- Owner: Head - Legal & Contracts.

### 6 Subcontracting

Standard position: Permitted only with client approval and disclosure; no subcontracting of key personnel roles.

- Negotiation threshold: Any undisclosed subcontracting.
- Approval: Head - Bids and Legal.
- Deal-breaker: No.
- Owner: Head - Bids & Proposals.

### 7 Termination for convenience

Standard position: Acceptable with >= 90 days notice and payment for work done.

- Negotiation threshold: < 90 days notice.
- Approval: Legal if notice < 90 days.
- Deal-breaker: No.
- Owner: Head - Legal & Contracts.

### 8 Data protection

Standard position: Comply with DPDP Act 2023 and CERT-In Directions (6-hour incident reporting); data residency in India accepted.

- Negotiation threshold: Obligations beyond law without cost recovery.
- Approval: CISO review.
- Deal-breaker: No.
- Owner: CISO.

## 9. Insurance

Nimbus holds professional indemnity insurance of ₹15 crore and cyber liability insurance of ₹10 crore per year (synthetic figures). Any tender requiring higher cover must be referred to the CFO.

## 10. Recording decisions

Every approval or exception is recorded in the bid file with the tender clause, the policy section, the approver and the date.